

**LAW & MOTION CALENDAR
TENTATIVE RULINGS**

September 10, 2026

**Judge R. Shawn Nelson
Department C10**

Department C10 hears law and motion on Thursdays at 10:00 a.m. and 1:30 p.m.

Court reporters: Official court reporters are not provided in this department for any proceedings. If the parties desire the services of a court reporter, the parties should follow the procedures set forth in the Privately Retained Court Reporter Policy on the court's website at www.occourts.org.

Tentative rulings: The court endeavors to post tentative rulings on the court's website by 9:00 a.m. the day of the hearing. Tentative rulings may not be posted in every case. Please do not call the department for tentative rulings if tentative rulings have not been posted. The court will not entertain a request to continue a hearing or the filing of further documents once a tentative ruling has been posted.

Submitting on tentative rulings: If all counsel intend to submit on the tentative ruling and do not desire oral argument, please advise the Courtroom Clerk or Courtroom Attendant by calling (657) 622-5210. Please do not call the department unless all parties submit on the tentative ruling. If all sides submit to the tentative ruling and so advise the court, the tentative ruling shall become the court's final ruling, and the prevailing party shall give notice of the ruling and prepare an order for the court's signature if appropriate under Cal. R. Ct. 3.1312.

Appearances and public access: Appearances, whether in person or remote, must comply with Civil Procedure Code section 367.75, California Rule of Court 3.672, Orange County Superior Court Local Rule 375, and Orange County Superior Court Appearance Procedure and Information—Civil Unlimited and Complex (pub. 9/9/22).

Unless the court orders otherwise, remote appearances will be conducted via Zoom. All counsel and self-represented parties appearing via Zoom must check in through the court's civil remote appearance website before the hearing begins. Check-in instructions are available on the court's website.

The public may attend hearings by coming to court or via remote access as described above.

Photographing, filming, recording, and/or broadcasting court proceedings are prohibited unless authorized pursuant to California Rule of Court 1.150 or Orange County Superior Court Local Rule 180.

Non-appearances: If nobody appears for the hearing and the court has not been notified that all parties submit to the tentative ruling, the court shall determine whether the matter is taken off calendar or the tentative ruling becomes the final ruling.

NO.	CASE NAME	MATTER
1:30 p.m.		
1	Newberry vs. Kadenwood, Inc.	The motion by Defendant B&B AZ Holdings, LLC ("Defendant" or "Moving Defendant") to quash service of summons is CONTINUED to December 17, 2026 at 1:30 PM for jurisdictional discovery as set forth below. <u>Legal Standard re Jurisdiction</u> The Moving Defendant argues that there are insufficient contacts with California to "purposefully avail itself" here and litigating these claims in California does not comport with fair play and substantial justice. The Moving Defendant is a Delaware limited liability company with a principal place of business in Arizona and lacks meaningful contacts with this state. The Moving Defendant argues that a mere contract with Kadenwood alone does not confer specific jurisdiction over an out-of-state defendant.

“In the absence of a voluntary submission to the authority of the court, compliance with the statutes governing service of process is essential to establish that court’s personal jurisdiction over a defendant.” (*Dill v. Berquist Construction Co.* (1994) 24 Cal.App.4th 1426, 1439 (*Dill*)). “When a defendant challenges that jurisdiction by bringing a motion to quash, the burden is on the plaintiff to prove the existence of jurisdiction by proving, inter alia, the facts requisite to an effective service.” (*Ibid.*)

When a nonresident defendant challenges personal jurisdiction the burden shifts to the plaintiff to demonstrate by a preponderance of the evidence that all necessary jurisdictional criteria are met. (*Jewish Defense Org. v. Superior Court* (1999) 72 Cal.App.4th 1045, 1055). “The plaintiff must do more than merely allege jurisdictional facts; plaintiff must provide affidavits and other authenticated documents demonstrating competent evidence of jurisdictional facts.” (*BBA Aviation PLC v. Superior Court* (2010) 190 Cal.App.4th 421, 428–429).

“Personal jurisdiction may be had on either a general (all-purpose) or specific (case-linked) basis.” (*Halyard Health, Inc. v. Kimberly-Clark Corp.* (2019) 43 Cal.App.5th 1062, 1070).

A. General Jurisdiction

General jurisdiction exists where the activities of a non-resident defendant are so “extensive or wide-ranging” or “substantial ... continuous and systematic” to establish a constitutionally sufficient relationship to warrant jurisdiction for all causes of action asserted against it. (*Cornelison v. Chaney* (1976) 16 Cal.3d 143, 147.) “A nonresident defendant is subject to the general jurisdiction of the forum if the defendant is ‘essentially at home in the forum State...’” (*Halyard, supra*, 43 Cal. App. 5th at 1070).

Under these standards, the record is insufficient to support general jurisdiction over the Moving Defendant, which is an out-of-state limited liability with no principal place of business in California. There is no evidence and Plaintiffs do not suggest that the Moving Defendant is “essentially at home” in California and/or their activities in California are so extensive or wide-ranging or substantial, continuous, and systematic to warrant general jurisdiction.

B. Specific Jurisdiction

“A court may exercise specific jurisdiction over a nonresident defendant only if: (1) the defendant has purposefully availed himself or herself of forum benefits; (2) the controversy is related to or arises out of the defendant’s contacts with the forum; and (3) the assertion of personal jurisdiction would comport with fair play and substantial justice.” (*Snowey v. Harrah’s Entertainment, Inc.* (2005) 35 Cal.4th 1054, 1062).

A plaintiff opposing a defendant’s motion to quash service has the burden of establishing factor Nos. (1) (the defendant’s purposeful availment) and (2) (lawsuit relates to the defendant’s contacts with state).” (*People ex rel. Harris v. Native Wholesale Supply Co.* (2011) 196 Cal.App.4th 357, 362 [citing *Bridgestone Corp. v. Superior Court* (2002) 99 Cal.App.4th 767, 774].) This burden must be met by competent evidence in affidavits and authenticated documentary evidence. (*Id.*) “If the plaintiff does so, the burden then shifts to the defendant to show factor No. (3), that the exercise of jurisdiction would be unreasonable.” (*People ex rel. Harris, supra*, at 362).

“The purposeful availment inquiry...focuses on the defendant's intentionality. [Citation.] This prong is only satisfied when the defendant purposefully and voluntarily directs [its] activities toward the forum so that [it] should expect, by virtue of the benefit [it] receives, to be subject to the court's jurisdiction based on” [its] contacts with the forum.” (*Swenberg v. Dmarcian, Inc.* (2021) 68 Cal.App.5th 280, 294).

“Thus, purposeful availment occurs where a nonresident defendant ‘purposefully direct[s]’ [its] activities at residents of the forum’ [Citation], ‘purposefully derive[s] benefit’ from’ its activities in the forum’ [Citation], ‘create[s] a “substantial connection” with the forum’ [Citation] ‘deliberately has engaged in significant activities within’ the forum [Citation], or has created ‘continuing obligations’ between [itself] and residents of the forum.” (*Id.* at 294-295). “A state may exercise specific jurisdiction over a nonresident who purposefully avails himself or herself of forum benefits, because the state has ‘a “manifest interest” in providing its residents with a convenient forum for redressing injuries inflicted by out-of-state actors.” (*Id.* at 298). “Moreover, where individuals ‘purposefully derive benefit’ from their interstate activities [citation] it may well be unfair to allow them to escape having to account in other States for consequences that arise proximately from such activities.” (*Ibid.*)

Defendant argues that there is no specific jurisdiction because they did not purposefully avail itself to this state. Defendant argues that it is a foreign limited liability company with a foreign principal place of business. The court notes that in the moving papers, Defendant does not offer any evidence to establish these facts and/or other facts to establish that it has no contacts in California (e.g., a declaration stating that it has no bank accounts in California, has no employees in California, has no transactions with California, etc.)

Defendant relies on *Burger King Corp. v. Rudzewicz* (1985) 471 U.S. 462, 478 for the proposition that a mere contract with California is insufficient to meet the minimum contacts test for personal jurisdiction. However, as Plaintiffs correctly argue, Plaintiffs are not alleging a breach of contract claim against Moving Defendant. Rather, Plaintiffs allege that Defendant, in conjunction with Defendant Kadenwood, were intentional transferees of fraudulent transfers.

The court finds the following case to be persuasive.

In *Buchanan v. Soto* (2015) 241 Cal.App.4th 1353, Plaintiff Diana Buchanan (‘Buchanan’) claims that defendant Maria Soto (‘Maria’) transferred certain real property to her husband Ramon Soto (‘Ramon’), who was a Mexican resident, as a fraudulent conveyance to prevent Buchanan from executing an anticipated judgment on the property.” (*Id.* at 1356-1357). “Buchanan filed her Complaint within the present action against Maria [and Ramon], alleging one cause of action for fraudulent transfer and seeking a court order setting aside the transfer of The Olive Properties by Maria to Ramon Soto.” (*Id.* at 1358).

The Buchanan court affirmed the trial court’s order denying a motion to quash over Ramon, concluding that the court had specific jurisdiction over Ramon, as the transferee of a fraudulent transfer of California assets. (*Id.* at 1358). As to the first prong for specific jurisdiction, the court concluded “Ramon has purposefully availed himself of forum benefits by **owning real property in this forum**, the controversy is related to or arises out of Ramon's ownership of the property, and the assertion of personal jurisdiction would comport with fair play and substantial justice.” (*Id.* at 1360). The court ruled “when Ramon received Maria's

interest in the Olive Properties, he became liable for the obligations and expenses related to that interest, including, by way of example only: payment of real property taxes; taxes from rental income, if any; mortgage payments, if any; and repair and/or maintenance costs. As owner, Ramon also enjoyed the benefits and protections of California law. Clearly, once Ramon obtained—and kept—an interest in Maria's Olive Properties, his contacts with California became purposeful and not “ ‘random,’ ‘fortuitous,’ or ‘attenuated.’ ” (*Id.* at 1363–1364).

As to the second prong, the court “independently concluded there was a substantial connection or nexus between Ramon's receipt of Maria's interests in the Olive Properties and the operative facts of Buchanan's fraudulent conveyance action against Ramon and Maria. Quite simply, without the transfer of that interest by Maria, there would have been no fraudulent conveyance action against Ramon.” (*Id.* at 1364).

Similarly, here, to the extent that any of the Kadenwood assets are California assets and/or assets arising from California businesses, if maintaining any of these assets require paying California taxes or expenses, and/or if continuing to maintain the Kadenwood assets relates to any contacts with California residents or businesses, the Moving Defendant would have sufficient minimum contacts with this state.

Plaintiffs have offered evidence of the purchase sale agreement between Kadenwood and the Moving Defendant, which did invoke California's Uniform Commercial Code as the governing legal mechanism for the transaction. Plaintiffs do contend that “the assets acquired included the going-concern value of a business that had just launched California-distributed products through CVS, Walgreens, and Walmart.” To the extent that Plaintiffs can establish this fact, there would be sufficient minimum contacts. However, there is insufficient admissible evidence of these facts. The contracts, themselves, do not expressly delineate that the assets are being generated through California contacts.

While the record is insufficient at this time, Plaintiffs have requested the opportunity to conduct jurisdictional discovery. The court, in the interest of determining issues on the merits, will grant plaintiff the right to conduct discovery with regard to the issue of jurisdiction to develop the facts necessary to sustain this burden. (See *Mihlon v. Superior Court* (1985) 169 Cal.App.3d 703, 710.)

Discovery shall be limited as follows:

- The parties have three months to complete discovery.
- The parties are limited to propounding one set of special interrogatories, one set of requests for admission, and one set of production demands, not to exceed 35 questions each. The subject of that discovery must be limited to defendant's contacts with California (including the use of any California residents as employees/agents), whether or not the assets procured are California assets and/or assets that arise from California businesses, whether or not maintaining any of these assets require paying California taxes or expenses, and/or whether or not continuing to maintain the assets relates to any contacts with California residents.
- Plaintiff is limited to one deposition of each PMK of Kadenwood and one PMK of the Moving Defendant, not to exceed seven hours each.

		Plaintiffs shall file a supplemental brief that sets forth admissible evidence to establish specific jurisdiction over the Moving Defendant. Plaintiffs' supplemental brief is due per code. Moving Defendant shall file a supplemental opposition that responds to Plaintiffs' evidence with admissible evidence. Defendant's supplemental brief is due per code. Any further legal authority cited in supplemental briefs should focus on specific jurisdiction over a foreign defendant who is alleged to be a <u>transferee of a fraudulent transfer</u>. The hearing on the motion to quash is continued to December 17, 2026 at 01:30 PM. Case Management Conference is continued to December 17, 2026 at 01:30 PM. Moving Defendant to give notice.
2	McMillen vs. Bank of America, National Association	The Motion for Summary Judgment or Summary Adjudication brought by Defendant Bank of America, National Association, is DENIED, in whole. Plaintiff's Request for Judicial Notice is DENIED, as the request relates to an unpublished opinion which cannot be considered by this Court, pursuant to California Rules of Court rule 8.1115. Plaintiff attempts to avoid the above, by invocation of the exception articulated in California Rules of Court rule 8.1115(b), which permits consideration of unpublished opinions under the doctrine of collateral estoppel; however, Plaintiff has not demonstrated that collateral estoppel applies. For collateral estoppel to apply, "the issue sought to be precluded from relitigation must be identical to that decided in a former proceeding." (<i>Williams v. Doctors Medical Center of Modesto, Inc.</i> (2024) 100 Cal.App.5th 1117, 1131.) "The 'identical issue' requirement addresses whether 'identical factual allegations' are at stake in the two proceedings, not whether the ultimate issues or dispositions are the same." (<i>Ibid.</i>) Plaintiff relies on <i>Saribekyan v. Bank of America, N.A.</i> (2020) 2020 WL 38676, to establish a Safe Deposit Box Rental Agreement is unconscionable. (See Opposition: 12:9-16 and 13:14-15.) However, "unconscionability is a fact-specific defense...." (<i>OTO, L.L.C. v. Kho</i> (2019) 8 Cal.5th 111, 124.) The facts in <i>Saribekyan</i>, upon which the Court relied in finding substantive unconscionability, differ from those alleged herein, such that the actions do not involve "identical issues." (See <i>Saribekyan v. Bank of America, N.A.</i> (2020) 2020 WL 38676, at p. 11 [cited only for purposes of evaluating collateral estoppel].) Moreover, "[w]here there is doubt about the application of issue preclusion, it should not apply." (<i>Williams v. Doctors Medical Center of Modesto, Inc.</i> (2024) 100 Cal.App.5th 1117, 1132.) Defendant's Request for Judicial Notice is DENIED as judicial notice of citable authority is unnecessary and, consequently, irrelevant. (See <i>Randy's Trucking, Inc. v. Superior Court</i> (2023) 91 Cal.App.5th 818, 842, fn. 15 and <i>Quelimane Co. v. Stewart Title Guaranty</i>

Co. (1998) 19 Cal.4th 26, 45, fn. 9; See also *Farm Raised Salmon Cases* (2008) 42 Cal.4th 1077, 1096, fn. 18 [allowing consideration of unpublished federal decisions].)

Defendant's Objections Nos. 1 through 9 are OVERRULED.

While Defendant correctly notes that "[a] party cannot create an issue of fact by a declaration which contradicts his prior [discovery responses]" and "the trial court may, in its discretion, give great weight to admissions made in deposition and disregard contradictory and self-serving affidavits of the party" (*Benavidez v. San Jose Police Dept.* (1999) 71 Cal.App.4th 853, 860), Defendant failed to identify or provide clearly contradictory deposition testimony. (Objection Nos. 1, 2, and 8.)

Further, the Court finds the declaratory statements made by Plaintiff, regarding his conduct and the documents or information provided to him are sufficiently relevant, not barred by the "best evidence" rule, nor lacking in foundation. (Objections Nos. 3-7.)

Finally, Counsel John Taylor properly authenticates the attached deposition. (Objection No. 9.)

Moving to the merits, the Court interprets Defendant's Motion as seeking adjudication only of the Twentieth and Twenty First Affirmative Defenses, as well as the claims for Negligence and Conversion. The remaining requests fall outside Code of Civil Procedure section 437c, subdivision (f), which permits adjudication only as to "one or more causes of action within an action, one or more affirmative defenses, one or more claims for damages, or one or more issues of duty," where adjudication completely disposes of the same. (Code Civ. Proc., § 437c, subd. (f).)

The *primary* basis upon which Defendant requests adjudication in its favor, is the assertion Plaintiff's claims are barred by contractual limitations on liability.

It is undisputed Plaintiff signed Safe Deposit Box Rental Agreements on December 20, 2005, and on April 5, 2022. (See ¶6-¶7 of Nilay Declaration and Exhibits A and B thereto; See also ¶6-¶8 of Esposito Declaration and Exhibits 5 and 6 thereto, at RFA No. 1, as well as Exhibit 7, at 26:22-27:5, 28:11-18, 29:4-9, and 29:17-30:1.) Plaintiff confirms he signed the above, within his own declaration. (See ¶6-¶7 of McMillen Declaration.)

In response to this motion, Plaintiff asserts the relevant Agreement is unenforceable for multiple reasons.

Firstly, the Court finds that, to rely on the liquidated damages provision included within the agreement, Defendant is required to establish that the provision is valid under Civil Code section 1671.

It is undisputed the agreement provides as follows: "The Bank's liability for any loss in connection with the Box and its contents, for whatever reason, shall not exceed ten (10) times the annual rent charged for the Box, except as otherwise provided by law." (¶7 of Nilay Declaration and Exhibit B thereto.)

Similarly, a document titled "Safe Deposit Box Account Rental Agreement Rules and Regulations" states: "Due to the difficulty in verifying the contents of a Box or the value of

the contents, it would be impractical and extremely difficult to anticipate or fix actual damages. Therefore the Bank's liability for any loss in connection with the Box, for whatever reason, shall not exceed ten (10) times the annual rent rate for the Box except as otherwise provided by law." (§9 of Nilay Declaration and Exhibit C thereto.)

Where a contract involves the purchase or rental of services "primarily for the party's personal, family or household purposes," a liquidating damages provision "is void except that the parties to such a contract may agree therein upon an amount which shall be presumed to be the amount of damage sustained by a breach thereof, when, from the nature of the case, it would be impracticable or extremely difficult to fix the actual damage." (Civ. Code, § 1671, subd. (c) and (d).)

A two-part test applies to determine whether a liquidated damages provision is valid. (*Utility Consumers' Action Network, Inc. v. AT&T Broadband of Southern Cal., Inc.* (2006) 135 Cal.App.4th 1023, 1029.) "The first tracks the statutory language: fixing the amount of actual damages ha[s] to be impracticable or extremely difficult." (*Ibid.*) "The second is a judicially-crafted requirement: the amount selected must 'represent a reasonable endeavor by the parties to estimate fair compensation for the loss sustained.'" (*Ibid.*) "Determining whether a reasonable endeavor was made depends upon both (1) the motivation and purpose in imposing the charges, and (2) their effect." (*Ibid.*)

"Because liquidated damages clauses in consumer contracts are presumed void, the burden is on the proponent of the clause to rebut that presumption." (*Cellphone Termination Fee Cases* (2011) 193 Cal.App.4th 298, 322.)

As explained by the California Supreme Court in *Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, "how the parties moving for, and opposing, summary judgment may each carry their burden of persuasion and/or production depends on which would bear what burden of proof at trial." (*Id.* at p. 851.)

Based on the above, the burden was on Defendant to demonstrate the liquidated damages provision is enforceable pursuant to Civil Code section 1671. Defendant did not meet this burden.

At most, relying largely on the language included within the applicable Rules and Regulations, the evidence indicates an agreement between the parties that actual damages would be difficult to fix. (§9 of Nilay Declaration and Exhibit C thereto.)

As no evidence has been offered, which demonstrates a "reasonable endeavor" to estimate fair compensation, Defendant failed to rebut the presumption the provision is void. (See *Utility Consumers' Action Network, Inc. v. AT&T Broadband of Southern Cal., Inc.* (2006) 135 Cal.App.4th 1023, 1029 and *Cellphone Termination Fee Cases* (2011) 193 Cal.App.4th 298, 322.)

Additionally, while Defendant offered no specific analysis relevant to Civil Code section 1671, Defendant cites *Nalbandyan v. CitiBank, N.A.* (C.D. Cal. 2022) 2022 WL 2783839, wherein the court found that "a 500-times-annual-rent damage limitation provision is not 'arbitrarily low in relation of the amount charged for the rental.'" (*Id.* at p. 10.) The Court notes that *Nalbandyan* is distinguishable, as the liquidated damages

provision therein provided a calculation 50 times greater than the calculation included within *this* agreement.

Based on the above, the request to adjudicate the Twentieth Affirmative Defense, which relies on the above liquidated damages provision, is DENIED.

Additionally, after careful analysis of the evidence and arguments offered by the parties, the Court finds the relevant provisions unconscionable.

“Despite the numerous factual issues that may bear on the question, unconscionability is ultimately a question of law for the court.” (*Grand Prospect Partners, L.P. v. Ross Dress for Less, Inc.* (2015) 232 Cal.App.4th 1332, 1349.)

“Both procedural and substantive unconscionability must be present for a court to refuse to enforce a contract provision under the doctrine of unconscionability.” (*Parada v. Superior Court* (2009) 176 Cal.App.4th 1554, 1570.) However, “they need not be present in the same degree.” (*Ibid.*) Instead, “a sliding scale is invoked” so that “the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the terms is unenforceable, and vice versa.” (*Ibid.*)

“The procedural element of an unconscionable contract generally takes the form of a contract of adhesion, ‘which, imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it.’” (*Little v. Auto Stiegler, Inc.* (2003) 29 Cal.4th 1064, 1071.)

With respect to procedural unconscionability “there is no dispute that the limitation of liability provision is a nonnegotiable term presented in a form agreement that Plaintiff was required to accept...” (Motion: 7:7-10.) As such, it is undisputed the agreement was adhesive and *some* degree of procedural unconscionability exists.

A *slight* additional amount of procedural unconscionability exists, with respect to the standard of care limitation articulated within the Rules and Regulations. (¶9 of Nilay Declaration and Exhibit C thereto.)

“‘[P]rocedural surprise focuses on whether the challenged term is hidden in a prolix printed form or is otherwise beyond the reasonable expectation of the weaker party.’” (*Sanchez v. Superior Court* (2025) 108 Cal.App.5th 615, 626.)

While Plaintiff disputes receiving a copy of the Rules and Regulations prior to February 26, 2024 (See ¶6-¶9 of McMillen Declaration), the Safe Deposit Box Account Rental Agreement which was signed by Plaintiff expressly acknowledges receipt of this document: “The Renter(s) acknowledges receipt of a copy of the Safe Deposit Box Account Rental Agreement and the Safe Deposit Box Account Rental Agreement Rules and Regulations (‘Agreement’).” (¶10 of Nilay Declaration and Exhibit B thereto.)

“The facts recited in a written instrument are conclusively presumed to be true as between the parties thereto....” (Evid. Code, § 622.)

Nonetheless, authority cited by *Defendant* has attributed additional procedural unconscionability where material terms are incorporated in a separate document and not

highlighted: The Central District Court in *Nalbandyan v. CitiBank, N.A.* (C.D. Cal. 2022) 2022 WL 2783839, found “a high degree of procedural unconscionability,” in part on the basis “the damage limitation provisions in the Rental Agreements were not adequately highlighted.” (*Id.* at p. 9.) Similarly, in *Ong v. Bank of America, N.A.* (C.D. Cal. 2023) 2023 WL 2530869 (cited by Defendant), the Court found “a modicum of surprise, as the provision is found within the incorporated Rules rather than the Agreements themselves.” (*Id.* at p. 5.)

The Court finds these opinions persuasive as to this point, and applicable herein. (*Barriga v. 99 Cents Only Stores LLC* (2020) 51 Cal.App.5th 299, 316, fn. 8 [unpublished federal decisions may be persuasive].)

Consequently, procedural unconscionability has been established.

“A provision is substantively unconscionable if it involves contract terms that are so one-sided as to shock the conscience, or that impose harsh or oppressive terms.” (*Parada v. Superior Court* (2009) 176 Cal.App.4th 1554, 1573 [internal quotations omitted].)

The Court finds the liquidated damages provision, in addition to being presumptively void pursuant to Civil Code section 1671, is also substantively unconscionable.

The language which limits Plaintiff’s damages, incurred under any circumstances and involving *any* lost property to only \$600.00, is both one-sided and sufficiently low to “shock the conscience.” (See ¶7 of Nilay Declaration and Exhibit B thereto; See also ¶9 of Nilay Declaration and Exhibit C thereto.)

In addition to the above, Defendant seeks to enforce the following standard of care limitation: “The Bank shall in no event be liable for the loss of money, cash, coin, jewelry, bullion, or any other article for which the tracing or identification would be more difficult than that of bonds or stock certificates.” (¶9 of Nilay Declaration and Exhibit C thereto.)

The identified provision is one-sided as it seeks to wholly immunize Defendant from the loss of money or cash – items which were – at that time - not prohibited to be stored in the safe deposit box. (¶9 of Nilay Declaration and Exhibit C thereto [See “Prohibited Uses”].) Additionally, the wholesale disclaimer of liability, as to the loss of permitted items, would be unexpected by the average consumer.

In defense of the provision, Defendant relies on *Ong v. Bank of America, N.A.*, (C.D. Cal. 2023) 2023 WL 2530869, wherein the federal court found an identical provision was *not* substantively unconscionable, on the following grounds: “In California, the law recognizes liability limitation clauses as valid and that they are ‘particularly important where the beneficiary of the clause is involved in a ‘high-risk, low-compensation service.’” (*Id.* at p. 5.) “The rental of safe deposit boxes is one such ‘high-risk, low-compensation service,’ as renters may store items of significant value in exchange for relatively low rates.” (*Ibid.*) “Given that corresponding risk – a product of the probability of a loss and its dollar amount – may be quite large, a damage limitations clause is not substantively inappropriate...[T]he party with superior knowledge about the value of what will be placed in the safe deposit box...can best assess the precise risks of loss.” (*Ibid.*) Based on the above, the federal court found “that the allocation of risk is not arbitrary, unfair, or unexpected to the Plaintiffs.” (*Ibid.*)

Initially, the opinion of lower federal courts are not binding, “particularly on issues of California law.” (*Sheridan v. Touchstone Television Productions, LLC* (2015) 241 Cal.App.4th 508, 516, fn. 7.) Additionally, the Court does not find the reasoning in *Ong* to be persuasive.

In reaching the above conclusion, *Ong* relied on language within *Markborough California, Inc. v. Superior Court* (1991) 227 Cal.App.3d 705, which stated that “it has been recognized that limitation of liability provisions is particularly important where the beneficiary of the clause is involved in a ‘high-risk, low-compensation service.’” (*Id.* at 714.) In *Markborough*, the Court analyzed the proper interpretation of Civil Code section 2782.5, applicable to limitations of liability between “a party to a construction contract and the owner or other party for whose account the construction contract is being performed...” (Civ. Code, § 2782.5.)

The Court in *Markborough* proceeded to explain that a limitation valid under Civil Code section 2782.5 “may be declared unenforceable if the provision is unconscionable or otherwise contrary to public policy.” (*Markborough California, Inc. v. Superior Court* (1991) 227 Cal.App.3d 705, 715.) “[A] contract provision may be unconscionable if there is an ‘inequality of bargaining power which results in no real negotiation and ‘an absence of meaningful choice.’” (*Ibid.* [internal quotations cleaned up].)

Importantly, the cited language from *Markborough* was not made in the context of unconscionability analysis. Instead, the *Markborough* Court acknowledged that unequal bargaining, despite a “high-risk, low-compensation service,” may still render an agreement unenforceable.

The Court in *Markborough* proceeded to hold that limitations of liability made pursuant to Civil Code section 2782.5 are valid, where an agreement “was reached between parties wherein each party had an opportunity to accept, reject, or modify such a provision.” (*Id.* at p. 715.)

Given the above context, *Ong*’s interpretation of *Markborough* is not persuasive.

Here, as indicated above, it is undisputed the agreement was adhesive and Plaintiff could not modify or negotiate its terms.

Additionally relevant to this analysis, Defendant *briefly* notes that “a contract can provide a ‘margin of safety’ that provides the party with superior bargaining strength a type of extra protection for which it has a legitimate commercial need without being unconscionable.” (*Sanchez v. Valencia Holding Co., LLC* (2015) 61 Cal.4th 899, 912 [internal quotations cleaned up].)

No evidence of a “legitimate commercial need” has been offered by Defendant, beyond the language in the agreement itself, which states that the identified items would be “more difficult than bonds or stock certificates” to trace. (¶9 of Nilay Declaration and Exhibit C thereto.)

Additionally, while Defendant generally notes that it has no means of determining the value of the items held within a safe deposit box, this argument is unpersuasive. As noted by the California Supreme Court in *Cussen v. Southern California Sav. Bank* (1901) 133 Cal. 534, in finding Civil Code section 1840 did not bar a similar claim: “[T]he very manner of conducting this somewhat peculiar line of business contemplates that the bailee shall not know the value of the thing deposited. In substance, he closes his eye to the value and character of the deposit; and this fact seems to be one of the controlling features in the transaction of this character of business.” (*Id.* at p. 538.)

Absent more, the Court cannot find that a provision which totally absolves Defendant of liability for the loss of money or cash, provides a reasonable “margin of safety” based on commercial need.

Based on the above, the request to adjudicate the Twenty-First Affirmative Defense is DENIED. Similarly, as the Twentieth and the Twenty-First Affirmative Defenses appear to be the sole basis upon which adjudication of the Breach of Contract claim was sought, the Motion for Summary Judgment is DENIED.

Next, the requests to summarily adjudicate Plaintiff’s claims for Negligence and Conversion are DENIED.

The economic loss doctrine “functions to bar claims in negligence for pure economic losses in deference to a contract between the litigating parties.” (*Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 922.) “[T]here is no liability in tort for economic loss caused by negligence in the performance or negotiation of a contract between the parties.” (*Id.* at p. 923.) However, “[n]ot all tort claims for monetary losses between contractual parties are barred by the economic loss rule.” (*Ibid.*) Such claims are barred “when they arise from – or are not independent of – the parties’ underlying contracts.” (*Ibid.*)

Stated somewhat differently: “Conduct amounting to a breach of contract becomes tortious only when it also violates an independent duty arising from principles of tort law.” (*Applied Equipment Corp. v. Litton Saudi Arabia Ltd.* (1994) 7 Cal.4th 503, 515.)

As relevant herein, the relationship between a customer who rents a safe deposit box and the bank that provides it is that of bailor and bailee. (*Webber v. Bank of Tracy* (1924) 66 Cal.App.2d 29, 33.) The relationship described is a “depository for hire” (Civ. Code, § 1851) and “[a] depository for hire must use at least ordinary care for the preservation of the thing deposited.” (Civ. Code, § 1852.)

Based on the above, a duty of care existed, outside of and apart from the Rental Agreement.

Further, the wholesale loss of Plaintiff’s property as alleged, constitutes a loss “not reasonably contemplated by the parties,” as referenced in *Rattagan*. (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 20-21.) This is particularly true considering the unconscionability findings stated above. An identical conclusion was reached in *Skaggs v. J.P. Morgan Chase Bank, N.A.* (C.D. Cal. 2024) 2024 WL 5469542, which this Court finds persuasive.

While Defendant requests judgment in its favor, on the basis the claims are duplicative, “[p]leading of alternative theories of relief on the same set of facts is, of course, quite proper

		and is often done where there is legally recognized basis for recovery in both contract and tort.” (<i>Gebert v. Yank</i> (1985) 172 Cal.App.3d 544, 591.) Finally, the Court notes that Defendant repeatedly asserts that Plaintiff lacks evidence of negligence; however, Plaintiff clearly declares that there was \$50,000 within the safe deposit box on August 26, 2022. (¶11 of McMillen Declaration.) Plaintiff additionally declares that he did not remove anything from the box, authorize anyone else to remove anything from the box, or take any action that would assist anyone in removing anything from the box. (¶12 of McMillen Declaration.) Despite the above, the box was empty when he returned on February 26, 2024. (¶13 of McMillen Declaration.) The above is sufficient evidence of negligence to avoid summary judgment. As noted by Plaintiff, “[e]xcept where additional evidence is required by statute, the direct evidence of one witness who is entitled to full credit is sufficient for proof of any fact.” (Evid. Code, § 411.) Additionally, “[a] court generally cannot resolve questions about a declarant’s credibility in a summary judgment proceeding [citations] unless admissions against interest have been made which justify disregard of any dissimulation.” (<i>AARTS Productions, Inc. v. Crocker National Bank</i> (1986) 179 Cal.App.3d 1061, 1065.) No such admissions have been made herein. Moreover, the above is sufficient to invoke <i>res ipsa loquitur</i>. “Res ipsa loquitur, when translated, means simply ‘the thing, or affair, speaks for itself,’ and, so speaking, authorizes the inference of negligence in the absence of a showing to the contrary.” (<i>Zentz v. Coca Cola Bottling Co. of Fresno</i> (1952) 39 Cal.2d 436, 440 [internal quotations cleaned up].) “Where the thing is shown to be under the management of the defendant or his servants, and the accident is such as in the ordinary course of things does not happen if those who have the management use proper care, it affords reasonable evidence, in the absence of explanation by the defendant, that the accident arose from want of proper care.” (<i>Zentz v. Coca Cola Bottling Co. of Fresno</i> (1952) 39 Cal.2d 436, 441.) This presumption has been applied, wherein a “sum of money” was abstracted from a safe deposit box. (See <i>Cussen v. Southern California Sav. Bank</i> (1901) 133 Cal. 534, 537.) Based on all the above, the Motion for Summary Judgment or Summary Adjudication brought by Defendant is DENIED.
3	Holcomb vs. Raging Bull Enterprises, Inc.	<u>Motion for Attorney Fees.</u> Defendants Raging Bull Enterprises, Inc. dba Orange County Singles and Monique Butler aka Nikki S. Bianco move for an award of attorney’s fees against Plaintiff Jessica Holcomb. For the following reasons, the unopposed motion is GRANTED IN A REDUCED AMOUNT. Plaintiff shall pay Defendants the amount of \$106,745 in attorney’s fees and \$1,308.57 in costs.

If a cause of action is “on a contract,” and the contract provides that the prevailing party shall recover attorneys’ fees incurred to enforce the contract, then attorneys’ fees must be awarded on the contract claim in accordance with Civil Code section 1717. (*Santisas v. Goodin* (1998) 17 Cal.4th 599, 615–617; *Exxess Electronixx v. Heger Realty Corp.* (1998) 64 Cal.App.4th 698, 706–707.)

Here, Plaintiff filed this action alleging Defendants breached a dating service contract. (Complaint, ¶ 2.) Plaintiff entered into this contract in May 2023. (Complaint, Ex. A.) Plaintiff generally alleges Defendants breached this contract and misrepresented that Defendants had members that met Plaintiff’s preferences.

The Membership Agreement executed by Plaintiff on May 12, 2023 states:

“If any claim, legal action or any arbitration or other proceeding is brought for the enforcement of this Agreement or because of a dispute, breach or default in connection with any of the provisions of this Agreement, the successful or prevailing party shall be entitled to recover reasonable attorneys' fees and costs incurred in connection with that claim, action or proceeding.”
(Krog Dec., Ex. 1.)

On March 30, 2026, judgment was entered in favor of Defendants and against Plaintiff. (ROA 174.)

Prevailing Party

Civil Code § 1717(b) states: (1) The court, upon notice and motion by a party, shall determine who is the party prevailing on the contract for purposes of this section, whether or not the suit proceeds to final judgment. Except as provided in paragraph (2), the party prevailing on the contract shall be the party who recovered a greater relief in the action on the contract.

Defendants are the prevailing parties because judgment was entered in their favor on March 30, 2026. (ROA 174.)

Lodestar Method

The lodestar adjustment method requires the trial court first to determine a lodestar figure based on actual time spent and reasonable hourly compensation for each attorney. (*Robertson*, 144 Cal.App.4th at 819, citing *Serrano v. Priest* (1977) 20 Cal.3d 25, 48–49.)

Reasonable Hourly Rate

The reasonable market value of the attorney’s services is the measure of a reasonable hourly rate. (*PLCM Group, Inc. v. Drexler* (2000) 22 Cal.4th 1084, 1094.) Factors that may be considered in determining whether counsel’s rates are reasonable include: level of skill necessary, time limitations, the amount to be obtained in the litigation, the attorney’s reputation, and the undesirability of the case. (*Ketchum v. Moses* (2001) 24 Cal.4th 1122, 1139.)

The party requesting fees has the initial burden of producing evidence sufficient to support the reasonableness of the billing rates requested. (See *Davis v. City of San Diego* (2003) 106 Cal.App.4th 893, 903.) If the moving party meets its burden, the burden shifts to the opposing party to produce admissible evidence sufficient to show that the rates requested are not reasonable. (See *Graciano v. Robinson Ford Sales, Inc.* (2006) 144 Cal.App.4th 140, 155 [finding court erred in reducing rates where evidence of reasonableness of rate requested was undisputed]; *Davis v. City of San Diego*, 106 Cal.App.4th at 904.)

Defendants' counsel requested the following hourly rates:

Timekeeper	Requested Hourly Rate
Tiffany Hyatt Krog	\$725
Brianna Douzoglou	\$725
Tara Karamian	\$475
Alec Galustian	\$525

The only evidence Defendants offer regarding the reasonableness of their counsel's rate is the following:

My hourly rate is \$725.00, attorney Brianna Douzoglou's hourly rate is \$725.00, attorney Tara Karamian's hourly rate is \$475, and attorney Alec Galustian's hourly rate is \$525.00. Hyatt Krog has practiced law since 2001, Douzoglou has practiced law since 2015, Karamians has practiced law since 2020, and Galustian has practiced law since 2024.

In other words, Defendants' justify their counsel's hourly rates with only their dates of bar admission. Counsel does not detail the work they have been doing since they earned their license to practice law, where they practiced law, or their role or title with any particular law firm. Based on the Court's understanding of the range of reasonable rates charged by and judicially awarded to attorneys for comparable work, the Court sets counsel's hourly rates as follows:

Timekeeper	Reasonable Hourly Rate
Tiffany Hyatt Krog	\$600
Brianna Douzoglou	\$550
Tara Karamian	\$500
Alec Galustian	\$450

Hours Reasonably Expended

In challenges to the reasonableness of the number of hours billed, "it is the burden of the challenging party to point to the specific items challenged, with a sufficient argument and citations to the evidence." (*Premier Med. Mgmt. Sys., Inc. v. Cal. Ins. Guarantee Ass'n* (2008) 163 Cal.App.4th 550, 564.) "General arguments that fees claimed are excessive, duplicative, or unrelated do not suffice." (*Id.*)

Plaintiff has not challenged the reasonableness of the number of hours billed by Defendants' counsel.

Defendants' counsel billed 191.80 attorney hours. Given that this proceeded to the summary judgment stage, this amount appears reasonable. And it is Plaintiff's burden to demonstrate that the hours were not reasonably expended. In light of the fact that Plaintiff did not oppose the motion, the Court grants the motion as follows. The only exception to this is Defendants' counsel's request for 4 hours for reviewing an opposition, preparing a reply, and attending the hearing on this motion. Given that Plaintiff did not oppose the motion, the Court reduces this requested amount from 4 hours to 0.5 hours.

Timekeeper	Hourly Rate	Time Granted	Total
Tiffany Hyatt Krog	\$600	125.60 + 0.5	\$75,660
Brianna Douzoglou	\$550	20.80	\$11,440
Tara Karamian	\$500	4.10	\$2,050
Alec Galustian	\$450	39.10	\$17,595
Total			\$106,745

Costs

Defendants seek reimbursement for \$1,308.57 in costs. Defendants timely filed a memorandum of costs, and Plaintiff did not file a motion to tax or strike the memorandum of costs. The Court awards this amount to Defendants in costs.

Defendants shall give notice of this ruling.

4	Steinhardt vs. Capistrano Unified School District	Defendant Capistrano Unified School District (CUSD)'s motion for attorneys' fees is DENIED. <u>Basis for Attorneys' Fees</u> A party seeking an award of fees has the burden of establishing entitlement to an award, documenting the appropriate hours spent, the hourly rates, and that the fees sought were reasonable and necessary to the conduct of the litigation. (<i>569 E. County Blvd. LLC v Backcountry Against the Dump, Inc.</i> (2016) 6 Cal.App.5th 426, 432). This court granted Defendant District's motion for summary judgment on 7/9/26. (ROA 219). Defendant District moves for attorneys' fees pursuant to Code Civ. Proc. § 1038, which provides: (a) In any civil proceeding under the Government Claims Act (Division 3.6 (commencing with Section 810) of Title 1 of the Government Code) or for express or implied indemnity or for contribution in any civil action, the court, upon motion of the defendant or cross-defendant, shall, at the time of the granting of any summary judgment... determine whether or not the plaintiff, petitioner, cross-complainant, or intervenor brought the proceeding with reasonable cause and in the good faith belief that there was a justifiable controversy under the facts and law which warranted the filing of the complaint, petition, cross-complaint, or complaint or answer in intervention. If the court should determine that the proceeding was not brought in good faith and with reasonable cause, an additional issue shall be decided
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as to the defense costs reasonably and necessarily incurred by the party or parties opposing the proceeding, and the court shall render judgment in favor of that party in the amount of all reasonable and necessary defense costs, in addition to those costs normally awarded to the prevailing party. An award of defense costs under this section shall not be made except on notice contained in a party's papers and an opportunity to be heard.

(b) "Defense costs," as used in this section, shall include reasonable attorney's fees, expert witness fees, the expense of services of experts, advisers, and consultants in defense of the proceeding, and where reasonably and necessarily incurred in defending the proceeding.

(c) This section shall be applicable only on motion made before the discharge of the jury or entry of judgment, and any party requesting the relief pursuant to this section waives any right to seek damages for malicious prosecution. Failure to make the motion shall not be deemed a waiver of the right to pursue a malicious prosecution action.

(d) This section shall only apply if the defendant or cross-defendant has made a motion for summary judgment, judgment under Section 631.8, directed verdict, or nonsuit and the motion is granted.

Thus, "[t]o avoid paying defense costs under section 1038, Plaintiff must show he or she filed and pursued the action with reasonable cause and in the good faith belief that there was a justifiable controversy under the facts and law which warranted the filing of the complaint." (*Hall v. Regents of Univ. of California* (1996) 43 Cal.App.4th 1580, 1585.) Moreover, "[s]ection 1038 applies not only to [] actions initiated in bad faith, but also to actions initiated in good faith but maintained in bad faith and without reasonable cause." (*Id.* at p. 1586 [citing to *Curtis v. County of Los Angeles* (1985) 172 Cal.App.3d 1243, 1250]). See also *Kobzoff v. Los Angeles County Harbor/UCLA Medical Ctr.* (1998) 19 Cal.4th 851, 853 fn.1: "The 'good faith' and 'reasonable cause' requirements pertain not only to the action's initiation, but also its continued maintenance."

Furthermore, "[a] defendant may not recover section 1038 costs simply because it won a summary judgment or other dispositive motion; victory does not per se indicate lack of reasonable cause." (*Kobzoff, supra*, 19 Cal.4th at 856). Finally, "before denying a section 1038 motion, a court must find the plaintiff brought or maintained an action in the good faith belief in the action's justifiability and with objective reasonable cause." (*Id.* at 862).

Reasonableness

Under section 1038, the court decides whether reasonable cause exists by analyzing the facts known to the plaintiff when he or she filed or maintained the action and determining whether any reasonable attorney would have thought the claim tenable. (*Laabs v. City of Victorville* (2008) 163 Cal.App.4th 1242, 1273-74). This any-reasonable-attorney standard is an objective standard that is applied as a matter of law. (*Laabs, supra*, 163 Cal.App.4th at 1274).

Defendant's motion is predominantly based on the application of Educ. Code § 35330, otherwise known as the "field trip immunity."

Educ. Code § 35330, subd. (d) provides: “All persons making the field trip or excursion shall be deemed to have waived all claims against the district, a charter school, or the State of California for injury, accident, illness, or death occurring during or by reason of the field trip or excursion. All adults taking out-of-state field trips or excursions and all parents or guardians of pupils taking out-of-state field trips or excursions shall sign a statement waiving all claims.”

“ ‘Field trip’ is defined as a visit made by students and usually a teacher for purposes of first hand observation (as to a factory, farm, clinic, museum). ‘Excursion’ means a journey chiefly for recreation, a usual brief pleasure trip, departure from a direct or proper course, or deviation from a definite path.” (*Doe v. Mount Pleasant Elementary School Dist.* (2025) 113 Cal.App.5th 1208, 1219 [internal citations omitted]).

Defendant relies on *Kobzoff, supra*, wherein the court held: “No reasonable plaintiffs, without some additional legal basis for the action, would maintain a suit against a defendant protected by the conclusive statutory immunity. (See *id.* at pp. 479–481, 134 Cal.Rptr. 549.) Thus, regardless of the alleged factual strength of plaintiffs' case, section 1038 allows defendants to recover costs when plaintiffs had no reasonable cause for filing or maintaining the action.” (*Kobzoff, supra*, 19 Cal.4th at 864).

In its ruling on the motion for summary judgment, this court found that the basketball tournament was a field trip or excursion within Educ. Code § 35330. (ROA 219). However, as this court found, Plaintiff had plead allegations regarding 12/31/22 text messages which occurred after the tournament, as well as general allegations regarding communications from Mr. Lutz. (See Compl., ¶¶ 10, 37).

The District argued for the first time in its reply to the motion for summary judgment that these text messages, or any nonphysical conduct, cannot be the subject of Plaintiff’s claims, citing to *Thomas v. Regents of University of California* (2023) 97 Cal.App.5th 587, 627 (“Thomas cites no authority imposing on a university a duty to protect students from harm of a nonphysical nature.”).

However, as the moving party, the District had the burden to establish “*a complete defense or otherwise showing there is no factual basis for relief on any theory reasonably contemplated by the opponent's pleading.*” (*Doe v. Good Samaritan Hospital* (2018) 23 Cal.App.5th 653, 661 [quotations omitted, emphasis in the original]). Accordingly, this court found that the District did not establish that the field-trip immunity statute applied to the entirety of Plaintiff’s Complaint.

In its reply to the motion for attorneys’ fees, Defendant District contends that “[a]ll of the pre-tournament text messages were not alleged in the operative Complaint as a basis for her claims. See ROA 2. And even if they were, merely exchanging text messages is not a basis for a negligence claim.” (Reply, 7:9-11), Defendant is relitigating this issue. This court found that Plaintiff had alleged communications in her Complaint that Defendant did not address in its moving papers.

But even with regards to the basketball tournament, the court notes that Plaintiff cited to *Doe v. Mount Pleasant Elementary School Dist.* (2025) 113 Cal.App.5th 1208 in her Opposition. In *Doe*, the court found that “[a] reasonable trier of fact could accordingly

conclude that attendance at [a science camp] was neither a field trip nor an excursion, because it was neither a mere observational visit nor a recreational departure from the usual educational course.” (*Id.* at 1221). See *Castro v. Los Angeles Bd. of Education* (1976) 54 Cal.App.3d 232 , 237: “Certainly the plaintiffs should be provided the forum in which to prove, if they can, that the ROTC ‘summer camp, bivouac and summer training’ was just as much a part of the school curriculum as a school-sponsored band or orchestra performance at an off-premises event.”

While this court ultimately found that the basketball tournament fell within the immunity statute, that finding was not predetermined simply because it was a sport-related, off-campus activity. Rather, this court was required to look closely at the evidence presented to determine how this tournament could be related to the school curriculum, if at all.

Defendant also briefly addressed this court’s finding that no known CUSD official had knowledge of Lutz’s actions or dangerous propensities as required to establish her claims. (See *Rancho Cucamonga Cent. Sch. Dist. v. Superior Ct. of San Bernardino Cnty.* (2025) 116 Cal.App.5th 718, 721 [“Thus, the school district may be liable for hiring, supervising, or retaining an employee if the district’s supervisory personnel had actual or constructive knowledge of the employee’s dangerous propensities.”]). In her opposition to the motion for summary judgment, Plaintiff presented evidence that Defendant Lutz failed to complete three mandatory trainings for “Coronavirus 101 - What You Need to Know (Full Course)”, “IPM [Integrated Pest Management] for Teachers and Office Staff (Full Course)”, and “Mandated Reporter: Child Abuse and Neglect (California Full).” Plaintiff also presented evidence that Lutz drove Plaintiff to the tournament without completing the required driver form. While this court found that these facts did not create a triable issue for various reasons as set forth in its ruling, the court finds that Plaintiff was not objectively unreasonable in opposing the motion with these facts.

Accordingly, the court finds that Plaintiff brought and maintained this action with objective reasonable cause.

Good Faith

“The good faith determination, however, involves a factual inquiry into the plaintiff’s state of mind.” (*Bosetti v. United States Life Ins. Co. in City of New York* (2009) 175 Cal.App.4th 1208, 1226).

As the court held in *Hall, supra*:

“*Good faith*, or its absence, involves a factual inquiry into the plaintiff’s subjective state of mind [citations]: Did he or she believe the action was valid? What was his or her intent or purpose in pursuing it? ... Because the good faith issue is factual, the question on appeal will be whether the evidence of record was sufficient to sustain the trial court’s finding.” (Emphasis added, *Knight v. City of Capitola, supra*, 4 Cal.App.4th at p. 932, 6 Cal.Rptr.2d 874.) Under the express wording of section 1038, “good faith” is linked to a belief in a “justifiable controversy under the facts and law....” (Emphasis added.)

(*Hall, supra*, 43 Cal.App.4th at 1586).

“Section 1038 applies not only to tort actions initiated in bad faith, but also to actions initiated in good faith but maintained in bad faith and without reasonable cause.” (*Id.* at 1586).

In support of Plaintiff’s argument that this action was brought and maintained in good faith, Plaintiff presents the declarations of counsel Kristen Friedman and Plaintiff Avery Steinhardt.

Counsel declares: Plaintiff propounded her final set of written discovery on the District on November 6, 2024. (Decl. of Friedman, ¶ 3). The District propounded its final set of written discovery on Plaintiff on October 11, 2024. Plaintiff completed her responses to the District’s written discovery by March 24, 2025. (Decl. of Friedman, ¶ 4).

The District served discovery on Plaintiff showing that Lutz had failed to complete mandatory trainings or comply with school policies on August 30, 2024. (Decl. of Friedman, ¶ 6). The District’s responses and production in response to Plaintiff’s written discovery were not completed until approximately August 2025. During that period, Plaintiff granted the District multiple extensions to provide discovery responses and documents rather than immediately resorting to motion practice. (Decl. of Friedman, ¶ 5).

Plaintiff declares that her claims against the District were never based solely on what happened during the basketball tournament in San Diego in December 2022, and that her interactions with Mr. Lutz began months before that tournament and occurred during the regular school semester. (Decl. of Steinhardt, ¶ 3). She declares: “During the months before the tournament, Assistant Coach Brandon Lutz gave me inappropriate and excessive personal attention. He communicated with me privately on his personal cellphone and Snapchat, offered me private basketball practices, bought me food and Starbucks, spent time at the Starbucks where I worked, contacted hundreds of colleges on my behalf, and gave me a \$100 massage gift card.” (Decl. of Steinhardt, ¶ 4). She further declares: “Because Mr. Lutz’s conduct toward me began months before the tournament, I believed that the District’s responsibility for failing to supervise him could not be reduced to the fact that some of the misconduct happened during a field trip.” (Decl. of Steinhardt, ¶ 6). She also declares: “As this lawsuit proceeded, I learned through my attorneys and the litigation process that District records showed Mr. Lutz had been repeatedly notified that he had not completed required District training and had not signed the District’s policies and procedures handbook for that school year. I understood that these requirements included student safety training and mandated child abuse reporter training. I also learned of issues concerning his driver paperwork and the District’s supervision, chaperone, and transportation arrangements for the tournament.” (Decl. of Steinhardt, ¶ 7).

She declares that these facts reinforced her belief that there were legitimate questions about whether the District had properly supervised Mr. Lutz and whether it could or should have identified problems with his compliance with its policies before the events in San Diego occurred. (Decl. of Steinhardt, ¶ 9).

She also declares: “I relied upon my attorneys to advise me regarding the legal issues in the case. They never advised me that continuing the case was frivolous or unreasonable. Based upon their advice and the facts that continued to be developed through discovery, I believed there remained legitimate factual and legal issues for the Court to decide. Much of that information continued to be developed through the District’s document production and through depositions that took place after May of 2025. At no point did I continue this

		lawsuit because I wanted to harass the District, punish it through the litigation process, cause it to incur unnecessary attorney’s fees, or force it to incur unnecessary litigation expenses.” (Decl. of Steinhardt, ¶¶ 12, 13). In support of the District’s contention that this action was not brought in good faith, the District argues that Plaintiff took the position that the tournament was a “field trip”/ “excursion” on two prior occasions during litigation, yet took the opposition position in her Opposition to the motion for summary judgment. First, the District notes Plaintiff’s complaint at paragraph 41, wherein she alleges: “Defendant and its employees have a duty to Avery Steinhardt to ensure she is kept safe at school and during school sponsored excursions.” Next, Defendant cites to Plaintiff’s opposition to Defendant’s motion for leave to amend, at Pg. 11:24-27, wherein she states: “Plaintiff’s causes of action are openly and obviously derived from the events that took place during a school sponsored field trip at the end of 2022. There is no case to be made for the District having recently discovered this field trip. It is a material, essential, and central fact to the case.” (See ROA 129). In response, Plaintiff argues that she opposed the notion that the tournament was a “field trip” for purposes of the immunity statute and never conceded that the tournament was subject to immunity when referring to the tournament as a “field trip” or “excursion”. Plaintiff declares: “I understood that the District later raised a defense based on the fact that some of the misconduct occurred during a field trip. I never understood that defense to mean that my entire case necessarily lacked merit or that the District could not be held responsible for any of its conduct concerning Mr. Lutz.” (Decl. of Steinhardt, ¶ 10). She also declares: “I also never intended, by acknowledging that the San Diego basketball tournament was likely a field trip, to concede that the District could not be held responsible for what happened to me. I understood those to be different issues.” (Decl. Of Steinhardt, ¶ 11). The court finds that Plaintiff did not concede the issue of immunity. First, as mentioned above, not all the alleged conduct was subject to the immunity statute. Second, as the court found in <i>Doe, supra</i>, and the similar cases cited by both parties, the determination of whether an off-campus event falls within the immunity statute requires an analysis of various factors, and goes beyond one’s reference to the term “field trip” or “excursion.” Accordingly, the court finds that Plaintiff brought and maintained the action in good faith, and the motion is denied. Defendant CUSD shall give notice.
5	Bren vs. Rebeil	Plaintiffs Angela Bren and Cary Bren’s motion for leave to amend to file a second amended complaint is DENIED without prejudice. Plaintiffs seek leave to amend to file a second amended complaint that adds allegations that Defendants added an illegal fifth floor basement to their property to the already existing causes of action, which is against the CC&Rs. Plaintiffs do not seek to allege additional causes of action. Defendants oppose, arguing that Plaintiffs fail to offer a factual basis for the new allegations, that the claims are time-barred, and that granting leave to amend would severely prejudice Defendants as they no longer live at the property and given the expanding costs of discovery.

Leave to amend should be granted liberally to accomplish substantial justice for both parties. (Code Civ. Proc., § 473, subd. (a); *Hirsa v. Superior Court* (1981) 118 Cal.App.3d 486, 488-489 (“*Hirsa*”).) “If the motion to amend is timely made and the granting of the motion will not prejudice the opposing party, it is error to refuse permission to amend....” (*Morgan v. Sup. Ct.* (1959) 172 Cal.App.2d 527, 530.) Prejudice includes “delay in trial, loss of critical evidence, or added costs of preparation.” (*Solit v. Tokai Bank, Ltd. New York Branch* (1999) 68 Cal.App.4th 1435, 1448.) “The power to permit amendments is interpreted very liberally as long as the plaintiff does not attempt to state facts which give rise to a wholly distinct and different legal obligation against the defendant.” (*Herrera v. Superior Court* (1984) 158 Cal.App.3d 255, 259.) “Allowing the filing of [] an amendment is in furtherance of justice and in keeping with the fundamental policy of our courts that cases should be decided on their merits.” (*Hirsa, supra*, at p.490.) It is “an abuse of discretion to deny leave to amend where the opposing party was not misled or prejudiced by the amendment.” (*Kittredge Sports Co. v. Superior Court* (1989) 213 Cal.App.3d 1045, 1048.) “A trial court has broad discretion to allow the filing of amendments to pleadings to conform to proof,” including “after a trial has been concluded” to conform to the proof. (*Nelson v. Gaunt*, 125 Cal. App. 3d 623, 636 (1981)).

Under California Rules of Court Rule 3.1324(a), a motion to amend a pleading shall (1) include a copy of the proposed amendment or amended pleading, which must be serially numbered to differentiate it from previous pleadings or amendments; (2) state what allegations in the previous pleading are proposed to be deleted, if any, and where, by page, paragraph and line number, the deleted allegations are located; and (3) state what allegations are proposed to be added to the previous pleading, if any, and where, by page, paragraph, and line number, the additional allegations are located. Under California Rule of Court Rule 3.1324(b), a separate declaration must accompany the motion and must specify (1) the effect of the amendment; (2) why the amendment is necessary and proper; (3) when the facts giving rise to the amended allegations were discovered; and (4) the reasons why the request for amendment was not made earlier.

Here, the court agrees with Plaintiffs that Defendants’ arguments go towards the merits of Plaintiffs’ new allegations—i.e., whether or not Plaintiffs can actually prove the new allegations and whether or not those claims are time-barred. However, a motion for leave to amend is not the mechanism to challenge the sufficiency of those claims. A demurrer, a motion for summary judgment/summary adjudication, and/or trial would be.

Nevertheless, the court finds that Plaintiffs have not substantially complied with the procedural requirements for leave to amend under Rule 3.1324. Specifically, in the moving papers, Plaintiffs’ counsel’s declaration does not testify as to when the facts giving rise to the amended allegations were discovered and/or the reasons why the request for amendment was not made earlier. While counsel’s declaration on reply provides more context, the declaration still fails to identify when counsel discovered alleged pictures of the Faith 5 Property illegal fifth level basement. In any event, the general rule of motion practice, which applies here, is that new evidence is not permitted with reply papers. (*Jay v. Mahaffey* (2013) 218 Cal.App.4th 1522, 1537). While the court has discretion to consider new evidence on reply, the inclusion “of additional evidentiary matter with the reply should only be allowed in the exceptional case ...” (*Id.*) Here, the court does not find that exceptional circumstances exist to consider Plaintiffs’ new evidence on reply

		For these reasons, the motion is DENIED without prejudice. Plaintiffs to give notice.
6	Paradigm Sports Management, LLC vs. Simpson	Petitioners Paradigm Sports Management, LLC, and Paradigm MMA Management, LLC (collectively, the “Petitioners” or “Paradigm”) move to compel Respondents Timothy Simpson, Daniel Maudsley, and Chosen Advisory Group, LLC, (collectively, “Respondents”) to resume ongoing arbitration proceedings and to stay this action pending outcome of the parties’ arbitration. For the following reasons, the petition is DENIED. Standard on Motions to Compel Arbitration The right to arbitration depends upon contract; a petition to compel arbitration is simply a suit in equity seeking specific performance of that contract. (Little v. Pullman (2013) 219 Cal.App.4th 558, 565.) The petitioner bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. (Ibid.) In these summary proceedings, the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court’s discretion, to reach a final determination. (Ibid.) Employees’ Statutory Right to Withdraw from Arbitration Code of Civil Procedure section 1281.98(a)(1) provides: In an employment or consumer arbitration that requires, either expressly or through application of state or federal law or the rules of the arbitration provider, that the drafting party pay certain fees and costs during the pendency of an arbitration proceeding, if the fees or costs required to continue the arbitration proceeding are not paid within 30 days after the due date, the drafting party is in material breach of the arbitration agreement, is in default of the arbitration, and waives its right to compel the employee or consumer to proceed with that arbitration as a result of the material breach. (Code Civ. Proc., § 1281.98(a)(1).) Subdivision (b) continues: “If the drafting party materially breaches the arbitration agreement and is in default under subdivision (a), the employee or consumer may unilaterally elect to . . . [¶] [w]ithdraw the claim from arbitration and proceed in a court of appropriate jurisdiction.” (Code Civ. Proc., § 1281.98(b)(1).) In the alternative, the employee or consumer may elect to continue with the arbitration proceeding, petition the court for an order

compelling the drafting party to pay all arbitration fees it is obligated to pay, or pay the drafting party's fees and proceed with the

arbitration proceeding. (See Code Civ. Proc., § 1281.98(b)(2)-(4).)

If the employee or consumer elects to withdraw from the arbitration and proceed in court, “[t]he employee or consumer may bring a motion, or a separate action, to recover all attorney's fees and all costs associated with the abandoned arbitration proceeding. The recovery of arbitration fees, interest, and related attorney's fees shall be without regard to any findings on the merits in the underlying action or arbitration.” (Code Civ. Proc., § 1281.98(c)(1).)

The court may, however, consider whether nonpayment was inadvertent. (Hohenshelt v. Superior Court (2025) 18 Cal.5th 310, 332.) The court noted that section 1281.98 was enacted to address “willful nonpayment of fees by a defendant [that] stymies the ability of employees and consumers to have their claims resolved in arbitration pursuant to a predispute arbitration.” (See id. at p. 337.)

In Hohenshelt v. Superior Court, the court had stayed the trial court proceedings and ordered the employee to arbitrate his claims for retaliation, failure to prevent harassment, and various Labor Code claims. (Hohenshelt v. Superior Court (2025) 18 Cal.5th 310, 324.) The arbitration proceeded for approximately one year, when the arbitrator issued two invoices for the defendant employer to pay. (Ibid.) The defendant employer did not pay those invoices within 30 days. (Ibid.) Following that failure to make payment, the arbitrator sent a letter to both parties providing notice the arbitrator had not yet received payment and that pursuant to the arbitration service's fee and cancellation policy, a failure to pay within 28 days could subject the hearing to cancellation. (Id. at p. 324.) The plaintiff employee filed a motion in the superior court to lift the stay, representing that he elected to withdraw his claims from arbitration and proceed in court, pursuant to Code of Civil Procedure 1281.98. (See id. at pp. 324-325.) Shortly thereafter, the employer paid the arbitration fees and sent an email objecting to the plaintiff employee's withdrawal from arbitration. (Id. at p. 325.) The trial court denied the plaintiff's motion to lift stay, ruling the arbitrator had seemingly set a new due date following the employer's initial failure to make payment. (See id.)

The California Supreme Court concluded “that section 1281.98, properly construed, is not preempted by the FAA” and explicitly “reject[ed] the rigid construction” that “impose[d] an inflexible and sometimes harsh rule resulting in loss of arbitral rights . . . and instead conclude[d] that the statute does not abrogate the longstanding principle, established by statute and common law, that one party's nonperformance of an obligation automatically extinguishes the other

		party's contractual duties only when nonperformance is willful, grossly negligent, or fraudulent.” (Id. at p. 322.) Application Here, it is undisputed that a valid arbitration agreement exists that covers the parties' underlying claims, that the parties previously participated in contractual arbitration administered by JAMS, and that Respondents withdrew the claim from arbitration pursuant to Code of Civil Procedure section 1281.98(b). Petitioners argue they are entitled to compel arbitration because their failure to pay invoice fees should be excused under Hohenshelt. Specifically, Petitioners submit evidence they did not receive actual notice of the outstanding invoice until after the deadline to pay the invoice had passed. (See Lust Decl. ¶ 11, Ex. G.) Respondents submit evidence showing that Paradigm had actual notice of the outstanding fees as early as 09/26/2025 (see Smith Decl. ¶¶ 5, 7, Exs. E-G) and no later than 10/09/2025 (see Smith Decl. ¶¶ 9-10, Exs. I-K). Each notice went to multiple attorneys at Paradigm's counsel. Furthermore, the 10/09/2025 correspondence from JAMS shows, which Paradigm concedes to have received (see Lust Decl., Ex. G): (1) includes a standalone invoice; (2) states all “Payment is due upon receipt”; and (3) includes an admonishment that “California Code of Civil Procedure sections 1281.97-1281.99 may apply to the payment of fees for this arbitration.” (See Smith Decl., Ex. K.) Petitioners chose not to file a reply and, thus, concede they received actual notice of the outstanding fees with sufficient time to pay the invoices. (See, e.g., DuPont Merck Pharmaceutical Co. v. Superior Court (2000) 78 Cal.App.4th 562, 566 [“By failing to argue the contrary, plaintiffs concede this issue”]; Westside Center Associates v. Safeway Stores 23, Inc. (1996) 42 Cal.App.4th 507, 529 [“failure to address the threshold question ... effectively concedes that issue and renders its remaining arguments moot”]; Glendale Redevelopment Agency v. Parks (1993) 18 Cal.App.4th 1409, 1424 [issue is impliedly conceded by failing to address it].) For this reason, the court will DENY Petitioners' petition to compel arbitration. Respondents to give notice.
7	Huang vs. BMW of North America, LLC	Plaintiff Jackson Huang moves an award of attorney's fees and costs against Defendant BMW of North America, LLC. For the following reasons, the motion is GRANTED IN A REDUCED AMOUNT. Defendant is ORDERED to pay Plaintiff \$64,000 in attorney's fees and \$1,785.37 in costs. Civil Code section 1794, subdivision (a) states: “Any buyer of consumer goods who is damaged by a failure to comply with any obligation under this chapter or under an implied

or express warranty or service contract may bring an action for the recovery of damages and other legal and equitable relief.” And subdivision (d) section 1794 provides: “If the buyer prevails in an action under this section, the buyer shall be allowed by the court to recover as part of the judgment a sum equal to the aggregate amount of costs and expenses, including attorney’s fees based on actual time expended, determined by the court to have been reasonably incurred by the buyer in connection with the commencement and prosecution of such action.”

Prevailing Party

On or about February 12, 2026, Plaintiff accepted Defendant’s Section 998 settlement offer of \$35,000. (Hashemi Dec., Ex. F.) Judgment was entered on March 9, 2026, pursuant to which Defendant shall pay Plaintiff \$35,000 in full satisfaction for all of Plaintiff’s claims regarding the vehicle at issue. (ROA 118.) Pursuant to the Judgment, Plaintiff is the prevailing party and is entitled to “reasonable costs, expenses, expert costs and attorney’s fees based on actual time expended pursuant to Civil Code section 1794(d), determined by the court to have been reasonably incurred by Plaintiff in connection with the commencement and prosecution of this action.” (ROA 118, ¶ 4.)

Thus, there is no dispute Plaintiff is the prevailing party and he is entitled to recover reasonable attorney’s fees and costs. (Id.)

Lodestar Calculation

Civil Code section 1794, subdivision (d) requires the attorney fees to be based on “actual time expended” and to have been “reasonably incurred.” In *Robertson v. Fleetwood Travel Trailers of California, Inc.* (2006) 144 Cal.App.4th 785, 818–819, 820, the court concluded, “the statutory language of section 1794, subdivision (d), is reasonably compatible with a lodestar adjustment method of calculating attorney fees” because “the lodestar adjustment method *is* based on actual, reasonable attorney time expended as the objective starting point of the analysis [citation], it is compatible with this statutory provision.” The court reasoned that the lodestar method is applicable to calculating attorney fees under section 1794, subdivision (d) because “the lodestar adjustment method is the prevailing rule for calculation of statutory attorney fees unless the statute expressly indicates a contrary intent, and no such contrary intent is apparent.” (*Id.* at 821; *Doppes v. Bentley Motors, Inc.* (2009) 174 Cal.App.4th 967, 997.)

The lodestar adjustment method requires the trial court first to determine a lodestar figure based on actual time spent and reasonable hourly compensation for each attorney. (*Robertson*, 144 Cal.App.4th at 819, citing *Serrano v. Priest* (1977) 20 Cal.3d 25, 48–49.) For Song–Beverly Consumer Warranty Act claims, “[a] prevailing buyer has the burden of ‘showing that the fees incurred were “allowable,” were “reasonably necessary to the conduct of the litigation,” and were “reasonable in amount.”’” (*Nightingale v. Hyundai Motor America* (1994) 31 Cal.App.4th 99, 104; *Doppes*, 174 Cal.App.4th at 998.)

The court then has the discretion to increase or decrease the lodestar figure by applying a positive or negative multiplier based on a variety of factors that the court did not consider when determining the lodestar figure, such as the novelty and difficulty of the issues presented, the extent to which the nature of the litigation precluded other employment by the attorneys, and the contingent nature of the fee award. (See *Northwest Energetic Servs.*,

LLC v. California Franchise Tax Bd. (2008) 159 Cal.App.4th 841, 879-82; *Graciano v. Robinson Ford Sales, Inc.* (2006) 144 Cal.App.4th 140, 154.) The court is not required to impose a multiplier; the decision is discretionary. (*Galbiso v. Orosi Pub. Util. Dist.* (2008) 167 Cal.App.4th 1063, 1089; *Nichols v. City of Taft* (2007) 155 Cal.App.4th 1233, 1241.)

Hourly Rates

The reasonable market value of the attorney's services is the measure of a reasonable hourly rate. (*PLCM Group, Inc. v. Drexler* (2000) 22 Cal. 4th 1084, 1094.) This standard applies regardless of whether the attorneys claiming fees charge nothing for their services, charge at below-market or discounted rates, represented the client on a straight contingent fee basis, or are in house counsel. (*Id.*) To determine that reasonable market value, the court must determine whether the requested rates are within the range of reasonable rates charged by and judicially awarded to comparable attorneys for comparable work. (*Children's Hospital & Medical Center v. Bonta* (2002) 97 Cal. App. 4th 740, 783.)

Factors that may be considered in determining whether counsel's rates are reasonable include: level of skill necessary, time limitations, the amount to be obtained in the litigation, the attorney's reputation, and the undesirability of the case. (*Ketchum v. Moses* (2001) 24 Cal.4th 1122, 1139.)

The party requesting fees has the initial burden of producing evidence sufficient to support the reasonableness of the billing rates requested. (See *Davis v. City of San Diego* (2003) 106 Cal.App.4th 893, 903.) If the moving party meets its burden, the burden shifts to the opposing party to produce admissible evidence sufficient to show that the rates requested are not reasonable. (See *Graciano v. Robinson Ford Sales, Inc.* (2006) 144 Cal.App.4th 140, 155 [finding court erred in reducing rates where evidence of reasonableness of rate requested was undisputed]; *Davis v. City of San Diego*, 106 Cal.App.4th at 904.)

Plaintiff's counsel requests an hourly rate of \$600 for Babak Hashemi (partner) and \$600 for Benjamin Martin (associate). Plaintiff's counsel declares:

30. In 2009, I founded the Law Offices of Babak Hashemi which is currently established as The Hashemi Law Firm, APC. My firm's regular hourly rate is \$600-\$650/hour. My hourly rate for most contingency matters is \$600/hour. Other attorney times at my firm has been billed at \$600-\$650 for Benjamin Martin and \$450 for affiliate/associate counsel. I am informed that these rates are reasonable considering each attorney's respective education, experience, and geographical practice area.

(Hashemi Dec., ¶ 30.)

\$600 per hour is high for the entirety of billing on this particular case. Plaintiff is requesting an hourly rate of \$600 for 131.2 hours spent on this matter.

Plaintiff filed this matter on May 10, 2024. (ROA 2.) The parties engaged in written discovery, and Plaintiff filed two motions to compel on March 3, 2025. (ROAs 42, 43.) Those motions were granted in part and denied in part. Plaintiff's deposition was taken and Plaintiff exchanged written discovery responses. (Hashemi Dec., ¶ 16.) Plaintiff then began

preparing for trial, but the case was settled shortly before trial was scheduled to begin. (Hashemi Dec., ¶¶ 17-18.) The parties then settled on or about February 6, 2026. (Id. at ¶ 19.)

In opposing this motion, Defendant urges the Court to reduce Plaintiff’s counsel Babak Hashemi’s hourly rate from \$600 to \$395 and Benjamin Martin’s associate hourly rate from \$600 to \$295. Defendant contends the rates are excessive and not consistent with prevailing community rates in sources such as the Real Rate Report. For 2023, the median rate for Consumer Goods cases was \$395 per hour for partners and \$295 per hour for associates. (See Hom Decl., ¶ Ex. A.)

The Court finds that an hourly rate of \$500 for both Babak Hashemi and Benjamin Martin is reasonable, based on the Court’s understanding of the range of reasonable rates charged by and judicially awarded to comparable attorneys for comparable work.

Hours Reasonably Expended

In challenges to the reasonableness of the number of hours billed, “it is the burden of the challenging party to point to the specific items challenged, with a sufficient argument and citations to the evidence.” (*Premier Med. Mgmt. Sys., Inc. v. Cal. Ins. Guarantee Ass’n* (2008) 163 Cal.App.4th 550, 564.) “General arguments that fees claimed are excessive, duplicative, or unrelated do not suffice.” (*Id.*) Additionally, moving party’s counsel’s verified time records should be “entitled to credence in the absence of a clear indication the records are erroneous.” (*Horsford v. Board of Trustees* (2005) 132 Cal.App.4th 359, 396.) However, the Court “may not rubber stamp a request for attorney fees, but must determine the number of hours reasonably expended.” (*Donahue v. Donahue* (2010) 182 Cal.App.4th 259, 271.)

Defendant has challenged certain time entries of Plaintiff’s counsel. The Court has analyzed Plaintiff’s billing records and Defendant’s objections thereto.

Defendant contends that Plaintiff has spent an excessive amount of time – 13.2 hours – on the instant fee motion. There is some merit to this objection, and the Court reduces the time awarded by 3.2 hours.

Defendant also objects that Plaintiff requests 2.1 hours for confirming Defendant’s contact information. That May 9, 2024 billing entry at issue states:

Update draft . Repurchase Demand to BMW, verify BMW's mailing address on DCA and for certified mail (1.0) confirm based on factual summary and legal basis for Song-Bev. and CLRA (1.0); verify Proper mailing address, fax and email for demands (0.1)- USPS Cert. 7022 2410 0001 8354 1138- Fax. 201-930-8484 and copy to Gabrielle.Dorcean@bmwgroup.com

The Court finds that the reasonable time spent on the tasks specified in this entry is 1 hour, and the Court thus reduces the time awarded by 1.1 hours.

Applying the above hourly rates and eliminating entries for duplicative, excessive and/or unnecessary work, the following hours and rates are reasonable:

Timekeeper	Hourly Rate	Time Granted	Total
Babak Hashemi	\$500	124.8	\$62,400
Benjamin Martin	\$500	3.2	\$1,600
Total			\$64,000

This amount includes the time reasonably spent in preparing the fees motion.

Multiplier

In *Robertson v. Fleetwood Travel Trailers of California, Inc.* (2006) 144 Cal. App. 4th 785, 822, the court recognized the propriety of applying a multiplier to an award of fees under Song Beverly. After the Court determines a lodestar figure based on actual time spent and a reasonable hourly compensation for each attorney, the Court may augment or diminish the lodestar figure by taking various relevant factors into account, including (1) the novelty and difficulty of the questions involved and the skill displayed in presenting them; (2) the extent to which the nature of the litigation precluded other employment by the attorneys; and (3) the contingent nature of the fee award, based on the uncertainty of prevailing on the merits and of establishing eligibility for the award.” (*Id.* at 819; *Doppes*, 174 Cal.App.4th at 998.)

Under the circumstances, the Court finds that no multiplier is appropriate for this case.

Costs

Prejudgment costs must generally be claimed in accordance with Judicial Council rules. (Code Civ. Proc., § 1034(a).) CRC 3.1700(a)(1) provides, in pertinent part:

A prevailing party who claims costs must serve and file a memorandum of costs within 15 days after the date of service of the notice of entry of judgment or dismissal by the clerk under Code of Civil Procedure 664.5 or the date of service of written notice of entry of judgment or dismissal, or within 180 days after entry of judgment, whichever is first.

Failure to comply with the time limits constitutes a waiver of a claim of costs. (*Hydratec, Inc. v. Sun Valley 260 Orchard & Vineyard Co.* (1990) 223 Cal.App.3d 924, 929.)

Here, however, the judgment explicitly states:

Following a ruling on a noticed motion which shall be filed with the court on or before 4/10/26, BMW NA shall pay reasonable costs, expenses, expert costs and attorney’s fees based on actual time expended pursuant to Civil Code section 1794(d), determined by the court to have been reasonably incurred by Plaintiff in connection with the commencement and prosecution of this action.

(ROA 118, ¶ 4.)

The motion was timely filed on April 8, 2026. Thus, the Court will not deny Plaintiff’s requests for costs based on timeliness.

The memorandum of costs Plaintiff submitted with her motion seeks \$855 in filing and motion fees, \$150 in jury fees, \$74 in service of process costs, \$256.37 in electronic filing or service fees, and \$450 in consulting expert fees, electronic file maintenance, clerical, printing, and software-service expenses. The Court grants Plaintiff’s request for costs.

		Plaintiff shall give notice of this ruling.
8	Gu vs. Family Orthodontics & Oral Surgery	Defendants Dean Azzeh, DDS and Dean Azzeh D.D.S., Inc. dba Family Orthodontics & Oral Surgery's demurer and motion to strike are CONTINUED to December 17, 2026 at 01:30 PM, in this department. Defendants' electronic service of the moving papers to Plaintiff, who is in pro per, is defective. Cal. R. Ct., rule 2.251, subd. (c) provides: (c) Electronic service required by local rule or court order ... (2) A court may require other persons to serve documents electronically in specified civil actions by local rule, as provided in Code of Civil Procedure section 1010.6 and the rules in this chapter. (3) Except when personal service is otherwise required by statute or rule, a party or other person that is required to file documents electronically in an action must also serve documents and accept service of documents electronically from all other parties or persons, unless: (A) The court orders otherwise, or (B) The action includes parties or persons that are not required to file or serve documents electronically, including self-represented parties or other self-represented persons; those parties or other persons are to be served by non-electronic methods unless they affirmatively consent to electronic service. Cal. R. Ct., Rule 2.251, subd. (b)(1)(B) also provides: "(1) A party or other person indicates that the party or other person agrees to accept electronic service by:... A party or other person may manifest affirmative consent by serving notice of consent to all parties and other persons and either: (i) Agreeing to the terms of service with an electronic filing service provider, which clearly states that agreement constitutes consent to receive electronic service; or (ii) Filing Consent to Electronic Service and Notice of Electronic Service Address (form EFS-005-CV)." (See also Code Civ. Proc. §1010.6, subd. (c)). There is no indication that Plaintiff consented to electronic service, and Plaintiff has not filed an Opposition on the merits, thereby waiving this service defect. Furthermore, the meet and confer declaration fails to comply with Code Civ. Proc. §§ 430.41, subd. (a) and 435.5, subd. (a). Counsel for Defendants declares that he sent Plaintiff a meet and confer correspondence on 3/24/26, and that Plaintiff did not respond. (Decl. of Aloia, ¶¶ 4, 5). However, there is no meet and confer attempt via telephone, videoconference, or in person, as required by Code Civ. Proc. § 430.41(a) and Code Civ. Proc. § 435.5(a).

		Accordingly, the court continues the demurrer and motion to strike so that Defendants may properly serve Plaintiff with the moving papers, and that Defendants may attempt to meet and confer in compliance with Sections 430.41(a) and 435.5(a). Defendants shall file their updated proof of service no later than 5 calendar days before the continued hearing date. Defendants shall give notice.
9	Kayar vs. HJC Corp.	Defendant HJC Corporation moves to tax costs on appeal claimed by Plaintiff Melih Kayar. For the following reasons, the motion is GRANTED in part. Plaintiff shall recover \$5,924.42 in appellate costs. As an initial matter, the court finds Plaintiff’s Memorandum of Appellate Costs and Defendant HJC Corporation’s Motion to Tax Appellate Costs to be timely filed and served pursuant to California Rules of Court, Rules 3.1700 and 8.278. (ROA # 262, 276, 278.) <u>Standard on Motions to Tax or Strike Costs</u> A prevailing party is usually entitled as a matter of right to recover costs in any action or proceeding. (Code of Civ. Proc. § 1032(b).) The items recoverable as costs on appeal are prescribed exclusively by California Rules of Court, rule 8.278(d)(1). No other costs are recoverable. (<i>Stratton v. Beck</i> (2018) 30 Cal.App.5th 901, 910.) If the items on a verified memorandum of costs appear to be proper charges, the memorandum is <i>prima facie</i> evidence of their propriety, and the burden is on the party contesting them to show that they were not reasonable or necessary. (<i>Foothill-De Anza Comm. College Dist. v. Emerich</i> (2007) 158 Cal.App.4th 11, 29; <i>Wagner Farms, Inc. v. Modesto Irrigation Dist.</i> (2006) 145 Cal.App.4th 765, 773-774.) The party challenging costs does not meet this burden by arguing that the costs were not necessary or reasonable but must present evidence and prove that the costs are not recoverable. (<i>Seever v. Copley Press, Inc.</i> (2006) 141 Cal.App.4th 1550, 1557; <i>see also Wagner Farms, supra</i>, 145 Cal.App.4th at pp.777-778.) If the claimed items are not expressly allowed by statute and are objected to by a motion to strike or tax costs, the burden of proof is on the party claiming them as costs to show that the charges were reasonable and necessary. (<i>Foothill-De Anza Comm. College Dist., supra</i>, 158 Cal.App.4th at p. 29.) Whether a cost item was reasonably necessary to the litigation is a question of fact for the court to determine. (<i>Id.</i> at pp. 29-30.) <u>Challenged Appellate Costs</u> <u>Item 3. Preparation of reporter’s transcript.</u> Plaintiff seeks costs in the amount of \$6,579.50 for preparation of the reporter’s transcript. Defendants contend the only expense recoverable under Rule 8.278(d) is the \$130 paid to this Court on 03/15/24. In response, Plaintiff contends the costs include the transcripts for the 01/11/24 hearing on the motion to quash as well the “PMQ deposition transcripts of

	Dave Bertram and George Hong,” were necessary to assemble and file the mandatory Appellant’s Appendix. (Declaration of Brendan M. Ford, ¶ 5.) In the reply, Defendant concedes the \$1,583.40 for the hearing transcripts are recoverable and also concedes “portions of the George Hong and Dave Betram transcripts are part of the appellate record.” (Reply, p. 1.) Under California Rules of Court, rule 8.278(d) costs are recoverable, if reasonable, in “[t]he amount the party paid <i>for any portion of the record</i>, whether an original or a copy or both. The cost to copy parts of a prior record under rule 8.147(b)(2) is not recoverable unless the Court of Appeal ordered the copying.” (Cal. Rules of Court, rule 8.278(d)(1)(B) [emphasis added]; <i>see also Alan S. v. Superior Court</i> (2009) 172 Cal.App.4th 238, 261 [holding the rule “makes no reference to necessity as a fact in what part of the appellate record is recoverable as a cost”].) This includes not only the costs of a reporter’s and/or clerk’s transcript but also the costs an appendix in lieu of clerk’s transcript, prepared pursuant to California Rules of Court, rule 8.124. (<i>See</i> Cal. Rules of Court, rule 8.278, Adv. Comm. Comment.) Plaintiff does not show the \$2,109.45 in costs for the deposition transcript of defendant Michael Quach to be recoverable. (Costs Memorandum, Ex. 3.) Plaintiff does not show this deposition was included in the appendix or that the cost was otherwise necessary and reasonable. The court hereby TAXES \$2,109.45 of the costs claimed in Item 3. <u>Item 4. Printing and Copying of Briefs</u> Plaintiff claims \$3,640.25 in printing and copying costs. Under California Rules of Court, rule 8.278(d), recoverable costs include, if reasonable, “[t]he cost to print and reproduce any brief, including any petition for rehearing or review, answer, or reply.” (Cal. Rules of Court, rule 8.278(d)(1)(E).) “Reasonable costs” of reproducing briefs by an authorized method are recoverable even though a less expensive method of production was available. “The only requirements . . . are that the cost be actually incurred and that it be reasonable.” (<i>Johnson v. Workers’ Compensation App. Bd.</i> (1984) 37 Cal.3d 235, 243 [“fact that the brief could have been . . . produced by some other process, at a less costs is not controlling”].) Defendant argues these charges and invoices are not related to printing and copying of appellate briefs, which were submitted electronically by the parties to the Court of Appeal rather than in paper form. Plaintiff does not meet the shifted burden to show these costs were incurred for printing and copying of briefs related to the appeal. (<i>See</i> Ford Decl. ¶ 7.) The court hereby TAXES \$3,640.25 of the claimed costs in Item 4. <u>Items 5 and 9 (Production of Additional Evidence and Other)</u> Plaintiff claims \$3,144.31 in costs for these categories. Defendant challenges these claimed costs as unrelated to the appeal or improper.
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		Plaintiff does not oppose the motion as to Item nos. 5 and 9 and, thus, concedes the issue. (See, e.g., <i>DuPont Merck Pharmaceutical Co. v. Superior Court</i> (2000) 78 Cal.App.4th 562, 566 [“By failing to argue the contrary, plaintiffs concede this issue”]; <i>Westside Center Associates v. Safeway Stores 23, Inc.</i> (1996) 42 Cal.App.4th 507, 529 [“failure to address the threshold question ... effectively concedes that issue and renders its remaining arguments moot”]; <i>Glendale Redevelopment Agency v. Parks</i> (1993) 18 Cal.App.4th 1409, 1424 [issue is impliedly conceded by failing to address it].) The court hereby TAXES \$3,144.31 of the costs claimed in Items 5 and 9. <u>Item 6 (Transmitting, Filing, and Serving of Record, Briefs, and Other Papers)</u> Plaintiff claims \$1,217.10 in this category. Defendant challenges all but \$200.60 in claimed costs as unrelated to the transmission, filing, and service of appellate papers. Plaintiff does not oppose the motion as to Item 6, thereby conceding the issue. (See, e.g., <i>DuPont Merck Pharmaceutical Co. v. Superior Court</i> (2000) 78 Cal.App.4th 562, 566.) The court hereby TAXES \$1,016.50 in costs claimed in Item 6. In sum, Plaintiff SHALL RECOVER \$5,924.42 in appellate costs. Plaintiff to give notice.
10	City of San Clemente, a California municipal corporation vs. Mark R. Middlebrook and Fadia K. Middlebrook, Trustees of the Mark And Fadia Middlebrook Family And Special Neess Trust Of 2012	Plaintiff City of San Clemente’s Motion for Appointment of a Receiver is CONTINUED to December 17, 2026 at 01:30 PM in Department C10. <u>Judicial Notice:</u> The City’s Request for Judicial Notice is GRANTED as to Nos. 1–3, 5–6, 9, 17, and 18; and DENIED as to Nos. 4, 7–8, and 10–16. <u>Motion for Receivership:</u> The City moves for an order: 1. Declaring the conditions on the parcel of real property known as 421 Via Alegre, San Clemente, California 92672, Assessor’s Parcel Number (“APN”) 691-272-18 (“Subject Property”) are substandard, violate State and local laws and that such violations are so extensive and of such a nature that the health and safety of the property’s owner, residents, neighbors, community, the public, and any occupants is substantially and imminently endangered. 2. Appointing Richardson Griswold (“Receiver”) as the Court’s receiver over the Subject Property pursuant to Health and Safety Code (“HSC”) section 17980.7, subdivision (c). 3. Granting Receiver the authority to manage and oversee the rehabilitation of the Subject Property pursuant to HSC section 17980.7, subdivision (c)(4) and Code of Civil Procedure (“CCP”) section 568.

		4. Authorizing Receiver to secure funding for the receivership estate through the issuance of receiver's certificates that may be recorded as super-priority liens on the Subject Property pursuant to HSC section 17980.7, subdivision (c), jurisprudence, and equity. 5. Enjoining Defendant, including agents, assigns, representatives, or other authorized entities or persons acting on their behalf including but not limited to, Owner, Fadia K. Middlebrook, and any other interested parties, from interfering with Receiver in the operation of the Subject Property pursuant to HSC section 17980.7, subdivision (c)(3). 6. Enjoining Defendant, including agents, assigns, representatives, or other authorized entities or persons acting on their behalf including but not limited to, Owner, Fadia K. Middlebrook, and any interested party, from encumbering or transferring any interest in the Subject Property pursuant to HSC section 17980.7, subdivision (c)(3). 7. Enjoining Defendant, including agents, assigns, representatives, or other authorized entities or persons acting on their behalf including but not limited to, Owner, Fadia K. Middlebrook, and any interested party, from allowing or maintaining nuisances on the Subject Property, and/or violations of multiple provisions of law, including, but not limited to, the California Health and Safety Code ("HSC"), California Building Code ("CBC"), California Fire Code ("CFC"), California Electrical Code ("CEC"), California Plumbing Code ("CPC"), California Existing Building Code ("CEBC"), International Property Maintenance Code ("IPMC"), Uniform Code for the Abatement of Dangerous Buildings ("UCADB"), and the San Clemente Municipal Code ("SCMC") and other applicable laws. 8. Authorizing the recovery of the City's costs, expenses, fees, and attorneys' fees out of the receivership estate, to be secured as a super-priority lien on the Subject Property the same as all other receiver's certificates, as authorized by HSC section 17980.7, subdivision (c)(4)(G), (c)(11), and (d)(1), jurisprudence, and equity. A. Legal Standard Under Health and Safety Code section 17980, enforcement agencies may institute proceedings to abate nuisances or building standards violations. "If a building is constructed, altered, converted, or maintained in violation of any ... order or notice that gives a reasonable time to correct that violation issued by an enforcement agency pursuant to this part... or if a nuisance exists in a building or upon the lot on which it is situated, the enforcement agency shall, after 30 days' notice to abate the nuisance or violation, or a notice to abate with a shorter period of time if deemed necessary... institute appropriate action or proceeding to prevent, restrain, correct, or abate the violation or nuisance." (Health & Saf. Code, § 17980, subd. (a).) Under section 17980.6, if "the violations are so extensive and of such a nature that the health and safety of residents or the public is substantially endangered, the enforcement agency may issue an order or notice to repair or abate... by both posting a copy of the order or notice in a conspicuous place on the property and by first-class mail... or by
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		posting a copy of the order or notice in a conspicuous place on the property and in a prominent place on each affected residential unit...” Under section 17980.7, if the owner fails to comply within a reasonable time with the terms of the order or notice to repair or abate, “[t]he enforcement agency . . . may seek and the court may order, the appointment of a receiver for the substandard building pursuant to this subdivision.” (Health & Saf. Code, § 17980.7, subd. (c).) If a receiver is sought, the court (1) “shall consider whether the owner has been afforded a reasonable opportunity to correct the conditions cited in the notice of violation”; and (2) “shall not appoint any person as a receiver unless the person has demonstrated to the court their capacity and expertise to develop and supervise a viable financial and construction plan for the satisfactory rehabilitation of the building.” (Health & Saf. Code, § 17980.7, subd. (c)(1)-(2); see also <i>City of Desert Hot Springs v. Valenti</i> (2019) 43 Cal.App.5th 788, 794.) Before filing a petition for appointment of a receiver, the enforcement agency must provide at least three days’ notice to persons with a recorded interest in the property in the manner prescribed by section 17980.7, subdivision (c). Section 17980.7 also preserves an owner’s procedural due process rights, including notice of the claimed violations and an adequate and reasonable period of time to comply. (Health & Saf. Code, § 17980.7, subd. (c)(14).) If a receiver is appointed, the owner of the substandard building “shall be enjoined from collecting rents from the tenants, interfering with the receiver in the operation of the substandard building, and encumbering or transferring the substandard building or real property upon which the building is situated.” (Health & Saf. Code, § 17980.7, subd. (c)(3).) Unless the court orders otherwise, the receiver appointed “shall have all of the following powers and duties” in the following order of priority: (A) To take full and complete control of the substandard property. (B) To manage the substandard building and pay expenses of the operation of the substandard building and real property upon which the building is located, including taxes, insurance, utilities, general maintenance, and debt secured by an interest in the real property. (C) To secure a cost estimate and construction plan from a licensed contractor for the repairs necessary to correct the conditions cited in the notice of violation. (D) To enter into contracts and employ a licensed contractor as necessary to correct the conditions cited in the notice of violation. (E) To collect all rents and income from the substandard building. (F) To use all rents and income from the substandard building to pay for the cost of rehabilitation and repairs determined by the court as necessary to correct the conditions cited in the notice of violation. (G) To borrow funds to pay for repairs necessary to correct the conditions cited in the notice of violation and to borrow funds to pay for any relocation benefits authorized
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		by paragraph (6) and, with court approval, secure that debt and any moneys owed to the enforcement agency or the receiver for services performed pursuant to this article with a lien on the real property upon which the substandard building is located. The lien shall be recorded in the county recorder's office in the county within which the building is located. (H) To exercise the powers granted to receivers under Section 568 of the Code of Civil Procedure. (Health & Saf. Code, § 17980.7, subd. (c)(4)(A)-(H).) The receiver is “entitled to the same fees, commissions, and necessary expenses as receivers in actions to foreclose mortgages.” (Health & Saf. Code, § 17980.7, subd. (c)(5).) Upon the request of the receiver, “a court may require the owner of the property to pay all unrecovered costs associated with the receivership in addition to any other remedy authorized by law.” (Health & Saf. Code, § 17980.7, subd. (c)(15).) Further, the prevailing party in an action pursuant to section 17980.7 “shall be entitled to reasonable attorney's fees and court costs as may be fixed by the court.” (Health & Saf. Code, § 17980.7, subd. (c)(11).) An order appointing a receiver is reviewed for abuse of discretion. (<i>City of Crescent City v. Reddy</i> (2017) 9 Cal.App.5th 458, 466 (“<i>Reddy</i>”).) “An abuse of discretion is demonstrated if the court's decision was not supported by substantial evidence or the court applied an improper legal standard or otherwise based its determination on an error of law. [Citation.]” (<i>Ibid.</i>) While in other contexts the appointment of a receiver is considered a drastic remedy that should not be used unless other less intrusive remedies are inadequate or unavailable (see <i>Medipro Medical Staffing LLC v. Certified Nursing Registry, Inc.</i> (2021) 60 Cal.App.5th 622, 628), “Health and Safety Code section 17980.7 contains no such requirement. The Legislature presumably concluded that uncorrected substandard building conditions present a sufficient danger to justify appointment of a receiver without regard to less invasive alternatives. [Citations.]” (<i>Reddy, supra</i>, 9 Cal.App.5th at p. 467.) B. Analysis The City submits evidence that the Notice and Order to Repair or Abate was issued in August 2025, that the cited conditions remain uncorrected, that the required prefilings notice was provided, and that the proposed receiver is qualified. (Kurtz Decl., ¶¶ 17, 20–26; Ferguson Decl., ¶ 12; Atamian Decl., ¶¶ 12, 19–20; Nelson Decl., ¶ 11; Appendix of Exhibits, Exs. 9, 11–17; Griswold Decl., ¶¶ 1–6, Ex. 1.) The City also submits supplemental evidence that the property continued to deteriorate after the motion was filed. (Kurtz Supp. Decl., ¶¶ 5–10, Exs. 19–23.) Defendant Fadia K. Middlebrook (“Defendant”) opposes appointment of a receiver and, alternatively, requests a 90-day continuance. Defendant argues the motion should be denied because the conservator now has the authority and resources to rehabilitate the property, Defendant was not previously afforded a meaningful opportunity to cure, and the City’s notice and proposed receiver are deficient.
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	The record establishes that Tabita Cesario was appointed temporary conservator in January 2026 and was authorized by the Probate Court to address immediate remediation of the property. (Plaintiff’s RJN, Ex. 18.) Defendant now represents that Cesario was appointed general conservator in August 2026 and thereafter received expanded authority and funding to undertake rehabilitation. Those asserted August 2026 changes, however, are not supported by a declaration or the subsequent Probate Court orders in the present record. Moreover, the reasonable-opportunity inquiry under section 17980.7 is measured from the notice or order issued pursuant to section 17980.6. (Health & Saf. Code, § 17980.7, subds. (c), (c)(1); <i>Reddy, supra</i>, 9 Cal.App.5th at p. 466.) Nor is the Court required to consider whether a less intrusive remedy is available before appointing a receiver. (<i>Reddy, supra</i>, 9 Cal.App.5th at p. 467.) <i>Even so, a 30-day continuance appears reasonable under the circumstances.</i> The asserted August 2026 expansion of the conservator’s authority and access to funds, if established, could constitute a material change in Defendant’s practical ability to rehabilitate the property. A limited continuance would allow the Court to consider a current evidentiary record concerning the conservator’s authority, available funding, and actual remediation efforts before determining whether to impose a receivership, while preserving the City’s request if the violations remain unabated. <i>Accordingly, the motion is CONTINUED.</i> As a condition of the continuance, Defendant shall file, within 10 calendar days of this order, competent evidence establishing Tabita Cesario’s appointment as general conservator, the scope of her authority to rehabilitate the property, and the availability of funds for that purpose. During the continuance, Defendant is ordered to: (1) obtain a licensed contractor’s assessment and scope of work; (2) retain an engineer and architect as needed; (3) apply for all permits required by the City’s Notice and Order; (4) begin permitted construction and remediation; (5) permit the City reasonable access, upon reasonable notice, to inspect the property and verify remediation and compliance; and (6) file and serve, at least 9 court days before the continued hearing, a written rehabilitation plan and construction schedule, supported by declarations and photographs showing the work completed and progress toward compliance. The City may file and serve a response to Defendant’s update at least 5 court days before the continued hearing. Case Management Conference is continued to December 17, 2026 at 09:00 AM. The City to give notice.
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